

Risk Appetite Statement

Effective 12 July 2026 · Approved by the Investment Committee · Confidential

PURPOSE

This Statement translates the risk limits set out in the Lunar Investments IC Charter & Investment Mandate into the firm's day-to-day risk-management posture. It applies to both the public equities book and the private growth-equity program and is reviewed annually alongside the Charter.

OVERALL RISK POSTURE

Lunar Investments operates a **moderate, return-disciplined** risk appetite. The firm accepts the illiquidity and execution risk inherent in private growth-equity investing in exchange for a minimum 15% underwritten IRR, but will not stretch return assumptions or waive concentration limits to fill the pipeline. Capital preservation across a full market cycle is weighted above chasing any single opportunity.

RETURN THRESHOLD

No commitment is made below the 15% base-case IRR hurdle defined in the Charter. Deals clearing the hurdle by a narrow margin are held to tighter downside monitoring and more conservative scenario weighting in the analysis stage.

CONCENTRATION RISK

The firm enforces a 10% single-name concentration cap and a 10% sector concentration cap, each calculated at cost and inclusive of any proposed new ticket (i.e. post-deal, not pre-deal). These caps exist to ensure no single company or sector thesis can impair the portfolio beyond a recoverable level.

As of the most recent portfolio snapshot, the technology & consumer sector bucket sits at 8.5% of AUM — inside the 10% cap, but with limited remaining headroom. Any new private-market ticket in this sector is now close enough to the cap that its concentration impact must be checked explicitly at screening before the deal advances.

LIQUIDITY RISK

A minimum 5% of AUM is held in liquid, Tadawul-listed public instruments at all times, sized to cover capital calls and operating requirements without forced disposal of illiquid private positions.

MARKET & DRAWDOWN RISK

The public equities book is monitored continuously against a 20% peak-to-trough drawdown tolerance (trailing 12 months). A breach triggers a mandatory risk review at the next scheduled Investment Committee meeting, independent of any single position's individual thesis.

SHARIAH & COMPLIANCE RISK

Every opportunity is subject to the AAOIFI-style Shariah pre-screen defined in the Charter (interest-bearing debt < 33% of market capitalisation; non-permissible income < 5% of revenue) alongside sanctions, conflicts-of-interest, and related-party checks. The firm has zero appetite for knowingly carrying a position that fails the business-activity test; ratio-based flags are referred to the Committee rather than auto-excluded.

OPERATIONAL & GOVERNANCE RISK

Every capital-deployment decision passes through the three governed stages and human decision gates defined in the Charter — screening, analysis, and Investment Committee review. Any advisory or analytical tooling used to prepare a deal is explicitly non-decisional; the Committee's vote is the only action that commits capital.

ESCALATION

- A screening-stage concentration or Shariah flag is escalated to the Head of Risk before the opportunity may proceed to analysis.
- A post-investment limit breach (concentration or drawdown) triggers a mandatory review at the next IC meeting.
- Any waiver of a Charter limit requires an explicit, minuted IC vote.